8. INCOME TAXES

Income before income taxes for U.S. and non-U.S. operations was as follows:

	2006	2005	2004
		(Dollars in millions)	
U.S. income (loss)	**$ (474.7)**	$ 20.2	$ 155.3
U.S. foreign source income	**52.0**	33.0	31.7
Non-U.S. income	**67.2**	26.8	48.8
Total income (loss) before income taxes	**$ (355.5)**	$ 80.0	$ 235.8

The following is a summary of the components of our provisions for income taxes:

	2006	2005	2004
		(Dollars in millions)	
Current			
Federal	**$ 21.1**	$ 5.9	$ 18.3
Other state and local	**(2.5)**	4.5	4.0
Foreign	**20.7**	14.7	7.7
Total current	**39.3**	25.1	30.0
Deferred			
Federal	**(162.2)**	(1.3)	36.8
Other state and local	**(6.0)**	(1.6)	0.5
Foreign	**(4.1)**	1.8	9.0
Total deferred	**(172.3)**	(1.1)	46.3
Total income tax expense (benefit)	**$ (133.0)**	$ 24.0	$ 76.3

The following is a reconciliation of our provision for income taxes to the expected amounts using statutory rates:

	2006	2005	2004
Federal statutory	**35.0%**	35.0%	35.0%
Foreign income taxes	**1.6**	(1.9)	(0.5)
State and local	**2.1**	1.8	1.2
Federal tax credits	**3.8**	(5.3)	(1.7)
Global restructuring	**(4.5)**	—	—
Other	**(0.6)**	0.4	(1.6)
Effective income tax rate	**37.4%**	30.0%	32.4%

The following is a summary of the significant components of our deferred tax assets and liabilities:

	2006	2005
	(Dollars in millions)	
Current deferred tax assets		
Employee benefits	**$ 29.6**	$ 11.4
Inventory	**5.2**	—
Prepaid taxes and other	**5.1**	9.9
Valuation allowance	**(2.3)**	—
Total current deferred tax assets	**37.6**	21.3
Current deferred tax liabilities		
Inventory and other	**(6.9)**	(4.3)
Current deferred tax asset, net	**$ 30.7**	$ 17.0

	2006	2005
	(Dollars in millions)	
Noncurrent deferred tax assets		
Employee benefits	**$ 203.6**	$ 159.8
NOL carryforwards	**23.8**	20.8
Tax credit carryforwards	**25.1**	2.4
Capital allowance carryforwards	**12.6**	13.7
Fixed assets	**6.5**	—
Prepaid taxes	**—**	2.8
Other	**9.0**	1.3
Valuation allowances	**(36.7)**	(31.2)
Noncurrent deferred tax assets, net	**243.9**	169.6
Noncurrent deferred tax liabilities		
Fixed assets and other	**(215.0)**	(282.7)
Noncurrent deferred tax asset (liability), net	**$ 28.9**	$ (113.1)

Noncurrent deferred tax assets and liabilities recognized in our balance sheets are as follows:

	2006	2005
	(Dollars in millions)	
U.S. federal deferred tax asset (liability), net	**$ 23.5**	$ (116.1)
Other foreign deferred tax asset, net	**5.4**	3.0
Noncurrent deferred tax asset (liability), net	**$ 28.9**	$ (113.1)

The deferred income tax assets and liabilities summarized above reflect the impact of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the basis of such assets and liabilities as measured by tax laws. At year-end 2006 and 2005, our net noncurrent foreign deferred tax asset was primarily attributable to timing differences related to the pension liability for our foreign operations. At year-end 2006, our net noncurrent U.S. federal deferred tax asset was principally comprised of the timing difference of employee benefits not yet deductible for tax purposes and other tax credit carryforwards offset by the impact of accelerated tax depreciation. At December 31, 2005, the accelerated tax depreciation was greater than the temporary difference for employee benefits and tax credit carryforwards, resulting in a net noncurrent U.S. federal deferred tax liability.

Our deferred tax asset valuation allowances at December 31, 2006 and 2005 are principally related to foreign net operating losses and capital allowance carryforwards. Although these carryforwards do not expire, we considered prior operating results and future plans, as well as the utilization period of other temporary differences, in determining the amount of our valuation allowances. In 2006 and 2005, we utilized a portion of such foreign tax benefits.

Payments for federal, state, local and foreign income taxes were $49.4 million, $36.0 million and $33.3 million in 2006, 2005 and 2004, respectively.